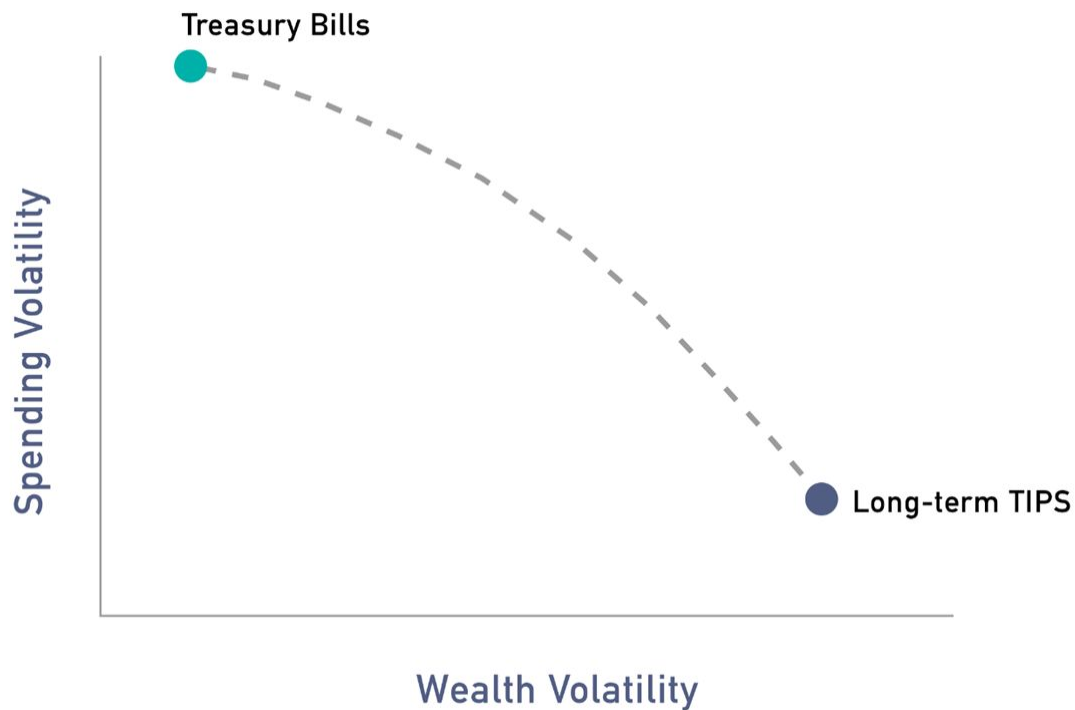




The next step is to understand the objectives of the retirement saver. As our world has transitioned from defined-benefit pensions to defined-contribution pensions, the focal point of retirement has gone from a monthly or annual income amount to a portfolio value. Typical target-date fund investors seek a sustainable income in retirement, but the number they see on their financial statements is the aggregate wealth in their account. As we just reviewed, aggregate account balances do not directly translate to sustainable spending. The portfolio can remain quite stable, while sustainable income fluctuates in ways most investors do not realize.

Traditional target-date funds reflect this same problem. As they generally transition from stocks to nominal bonds as the retirement date approaches, their objective is to provide some stability for portfolio fluctuations while also seeking growth. But without the efforts to provide inflation protection or duration matching through the growing fixed-income portion of the portfolio, the ability for an account balance to support the spending objective is hampered.